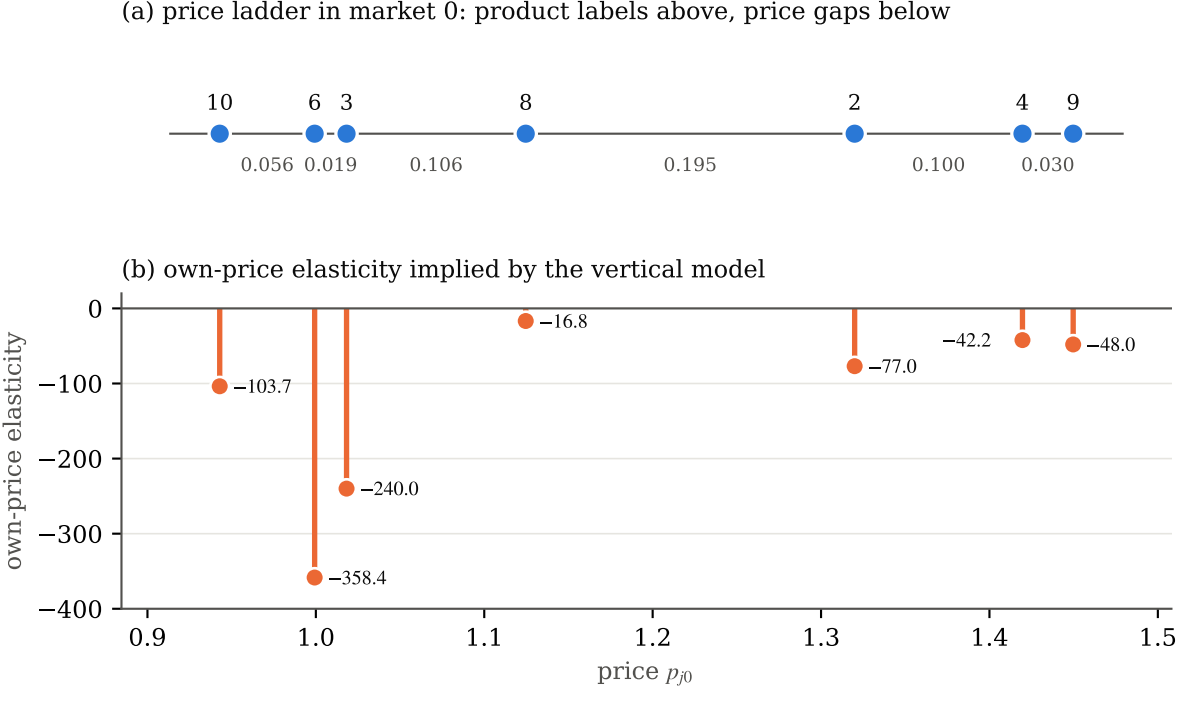
(a) price ladder in market 0: product labels above, price gaps below
10
6
3
8
2
4
9
0.056
0.019
0.106
0.195
0.100
0.030
(b) own-price elasticity implied by the vertical model
own-price elasticity
0
−100
−200
−300
−400
−103.7
−358.4
−240.0
−16.8
−77.0
−42.2
−48.0
0.9
1.0
1.1
1.2
1.3
1.4
1.5
price p_{j0}